

You've heard the old saying: "Speak truth to power." You might prefer to give it the lies it deserves. But while there's no sin in lying to authority, there are a lot of inconveniences. Banks all are subject to international rules that require them to "know thy customer." Whenever we open an account we have to send proof of residence, not to mention passports and other identification. You could probably fabricate a whole separate non-U.S. identity in order to open a tax haven account, but God knows what would happen if you were discovered. You risk losing all the money you were so desperate to protect.

Not only that, but when you do squirrely things, you end up with a squirrely, difficult life. We had a friend who sold his business, made some money, and then sought professional help to lower the tax bill. He ended up with a foundation in Lichtenstein. The plan seemed to go okay at first. It looked like he saved a lot of money.

But it gradually became clear that he had made himself prisoner of his tax-saving strategy. We don't know the details of what he did. But it was evidently the idea of some bright lawyer or tax planner. On the surface, it was "legal" and permissible. But there are plenty of gray areas in and about the tax code. He had gotten himself into an area that was not only gray but dangerous. The IRS threatened to declare his tax-saving strategy not only ineffective but illegal. In theory, he could have been tried for a crime and put in jail.

As a precaution, our friend fled to Europe. Whether this was legally effective or not, we don't know. But having the Atlantic Ocean between him and the IRS made him feel safer. The trouble was it also put an ocean between his wife and her family. Living in Paris was fun—for a while. But the couple soon felt cut off from their own children and from the life they wanted to lead.

"I wish I had never tried to save on taxes. It's just not worth it," he told us.

Our friend contacted more lawyers. The new guys went to the IRS. They posed the situation as a hypothetical:" Suppose we had a client who . . .

Eventually, they were able to negotiate a settlement with the taxmen. Our friend gave up his foundation and his tax-saving plan. He paid the tax he